

Olevel

Chp:- International Trade

Protectionism



 Larak
MUSHTAQ

Protectionism $\Rightarrow$ Away from free trade

$\hookrightarrow$ Prevention of market forces working freely.

* **Tariff** $\rightarrow$ Trade relations $\rightarrow$ Retaliation
 $\downarrow$ $\rightarrow$ Avoids Dumping

Tax on imported goods

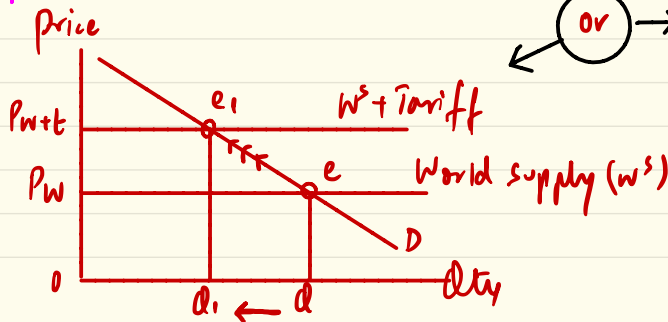
$m(\text{prices}) \uparrow$

$m(Q_t) \downarrow \rightarrow$ Responsiveness $\rightarrow$ PED!

$m(TE) \downarrow \rightarrow$ **Switch** $\rightarrow$ Domestic goods $\rightarrow C \uparrow \rightarrow AD \uparrow$

Expenditure switching policy!

It targets to switch the expenditure of domestic residents from imported goods to domestically manufactured good. Its effectiveness depends on PED!



Elastic: Price $\downarrow$ consumption $\downarrow$
 Inelastic: Prices $\uparrow$ Tax revenue

Macroeconomic objective: Full employment

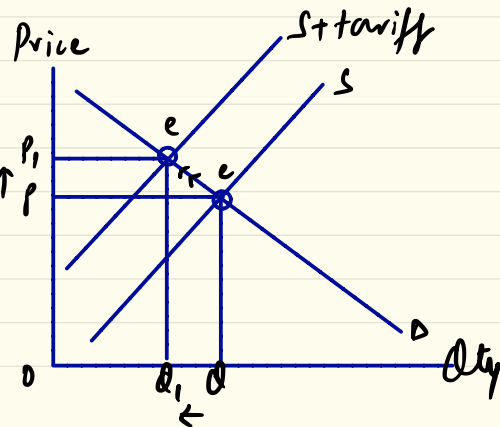
ADT
 Shortrun mild / longrun Hyper

production $\uparrow \rightarrow D_L \uparrow$

Employment $\uparrow$

Industries develop $\rightarrow$ Infant (sun rise)
 $\rightarrow$ Declining (sun set)
 $\rightarrow$ Strategic (arms, steel)

OV $\rightarrow$



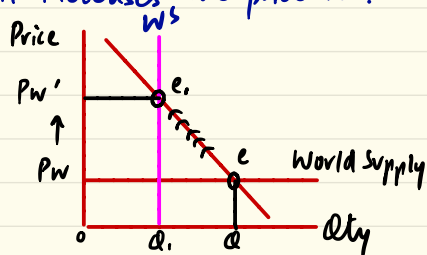
Note:- World Supply is perfectly elastic as a single producer can't influence the price level.

WS:- World Supply

PW:- World Price

As prices were increased through tariff, volume of imports contracts, from $Q-Q_1$. The extent to which it contracts depends on Price elasticity of demand.

Quota:- Physical limit on the quantity of goods imported, it increases the price too.



Exchange controls are governmental restrictions imposed on the purchase and/or sale of currencies. These controls allow countries a greater degree of economic stability by limiting the amount of exchange rate volatility due to currency inflows/outflows.

Dumping, in economics, is a kind of predatory pricing, especially in the context of international trade. It occurs when manufacturers export a product to another country at a price below the normal price.

Negative effects: Now, let's turn our attention to the negative effects of economic dumping. Dumping can push producers and manufacturers in the foreign (importing) country out of business, which can result in loss of jobs and higher unemployment.

A voluntary export restraint (VER) or voluntary export restriction is a government imposed limit on the quantity of some category of goods that can be exported to a specified country during a specified period of time. They are sometimes referred to as 'Export Visas'.

Subsidy is a grant or a cash payment, reduces cost of production, makes domestic goods competitive.

Connect to dumping!

Excessive Administrative Burdens :-

Such burdens are often described as 'red tape'. The paper work that is involved in the importation of goods into a country is made particularly difficult. The aim of such a measure is to discourage imports by making the process of importation much more time consuming and complex.

Arguments for protectionism :-

- * Specific protection for infant or sunrise industries to enable such firms to compete with more established firms from other countries
- * Specific protection for declining or sunset industries to give sufficient time for factors of production to be transferred to other uses
- * A strategic industry may need to be protected, such as military equipment, to provide a country with an appropriate defence
- * To provide protection against firms that are dumping products in another country, that is, they are selling below cost of production.
- * Protectionism may be necessary to help a country reduce a deficit on current account of the balance of payments
- * Certain protectionist methods, such as tariffs and duties, are form of raising government revenue.

Arguments against protectionism:-

When trade barriers are established, it can lead to trade diversion - a certain amount of trade will be lost as a result of the establishment of the barriers.

Protectionism can encourage industries to remain inefficient because they are protected from tough foreign competition and so there is an inefficient allocation of resources.

Protectionism can also allow monopolies to be created as foreign competition is reduced or eliminated.

Protectionism involves the distortion of markets, whereby there is a dead weight loss of consumer and producer surplus, reducing economic welfare through higher prices and restricted consumer choice.

Trade barriers reduce world production

Protectionist barriers encourage consumers to buy domestically produced goods, but these may be of inferior quality.

Protectionism can reduce the potential benefits of free trade and this is why it is strongly discouraged by the World Trade Organization.

Questions

Marks:- 31

Q1 Discuss whether protectionism can ever be justified? 8

Ans:- Advantages of protectionism (4 marks)

Disadvantages of protectionism (4 marks)

Q2 Define tariff and explain its diagram? 8

Q3 Define quota (use diagram), embargo, subsidy (use diagram) and Exchange controls? 12 (Each of 3 marks)

Q4 Define expenditure switching policy? 3